factors, including changes in monetary policy and inflation. Then there are global events, such as the COVID-19 pandemic or geopolitical conflicts like wars, which can impact the global economy and markets. There could also be events such as scams in certain stock markets or a company reporting a surprisingly positive or negative earnings result.

In the case of MFs, volatility measures how widely a fund's returns deviate from its average over a given period. Just like a roller coaster with steep climbs and sudden drops, an MF with high volatility may see its performance shoot up one month and fall sharply the next. In contrast, a fund with low volatility might appear much steadier, akin to a roller coaster for children, with slight dips and rises. In the financial world, volatility is typically expressed statistically in terms of standard deviation.

For instance, if you have an MF generating an average (mean) annual return of 6 per cent and it has a standard deviation of 2 per cent. This means that the fund's returns often fluctuate between 4 per cent and 8 per cent, but not consistently. This is just an approximate range for one standard deviation from the mean. The larger the standard deviation becomes, the greater the expected swings away from the average or volatility. Volatility is like your heartbeat; you are alive because of it, and your investments have the potential to grow because of it.

HOW AVERAGING WORKS

MONTHLY SIP OF ₹10,000 IN A MUTUAL FUND					
MONTH	NAV – A (₹)	UNITS	MONTH	NAV – B (₹)	UNITS
Jan. '24	21.23	471.03	Jan. '24	22.31	448.23
Feb. '24	21.48	465.54	Feb. '24	22.09	452.69
Mar. '24	22.15	451.46	Mar. '24	21.89	456.83
Apr. '24	22.71	440.33	Apr. '24	22.22	450.05
May '24	23.15	431.96	May '24	22.37	447.03
Jun. '24	23.27	429.73	Jun. '24	21.78	459.14
Jul. '24	23.55	424.62	Jul. '24	22.78	438.98
Aug. '24	24.01	416.49	Aug. '24	21.97	455.17
Sept. '24	24.51	408.00	Sept. '24	22.15	451.47
Oct. '24	24.73	404.36	Oct. '24	22.34	447.63
Nov. '24	25.15	397.61	Nov. '24	21.97	455.17
Dec. '24	25.21	396.66	Dec. '24	22.37	447.03
Total units		5,137.90			5,409.40
Average price of a unit		₹23.35			₹22.18

Note: NAV or Net Asset Value is the unit price of a mutual fund scheme

INVESTING A FIXED AMOUNT REGULARLY HELPS KEEP YOUR INVESTMENT PLAN ON TRACK, REGARDLESS OF MARKET CONDITIONS

MITIGATING VOLATILITY

There are ways to mitigate investment volatility by diversifying your portfolio through a mix of MFs. Then there are SIPs, which allow you to invest a fixed sum regularly in an MF scheme. This way, you need not wait for the right time to invest in the markets. This inculcates a regular investing habit, wherein you end up acquiring more MF units when the markets are down and fewer when the markets are up. This way, over long periods, you reduce the average investment cost of the MF units, mitigating volatility. This is known as rupee cost averaging, which is an inbuilt feature of investing through SIPs in volatile markets.

To understand the effect of averaging and its impact on containing volatility, let us consider a monthly SIP of Rs 10,000 in two different MF schemes, A and B (see *How Averaging Works*). Scheme A witnesses an upcycle, where the NAV of the fund for a period of 12 months is on the rise. Scheme B, in contrast, undergoes a volatile phase of fluctuations. It can be seen that the overall units acquired through Scheme B are higher than the number of units acquired by Scheme A. Importantly, the average cost of each unit is lower in the case of Scheme B compared to Scheme A. Investors must accept